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MOTION TO COMPEL

The Court tenders the following

tentative decision in the matter Margaret Cipriano v. ServiceTitan, Inc., et al., Los Angeles County Superior Court case number 26STCV04910, set for hearing on August 28, 2026. ServiceTitan, Inc. (Defendant) moves for an order compelling Margaret Cipriano (Plaintiff) to submit to binding arbitration, and staying these proceedings in the interim. Plaintiff opposes the motion. The motion is denied.

A. Legal Standard

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement.” (Code Civ. Proc. § 1281.2, subds. (a), (b).)

A proceeding to compel arbitration is

in essence a suit in equity to compel specific performance of a contract. (Freeman v. State Farm Mutual Auto Insurance Co. (1975) 14 Cal.3d 473, 479.) Such enforcement may be sought by a party to the arbitration agreement. (Code Civ. Proc., § 1280, subd. (e)(1).) A motion to compel arbitration requires the facts to be proven by affidavit or declaration and documentary evidence with oral testimony taken only in the court's discretion. (Code Civ. Proc., §1290.2; Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th

394, 413–414.) The motion must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. Rules of Court, rule 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218.)

Once the moving party alleges that an arbitration agreement exists, the burden shifts to the responding party to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See *Condee*, supra, 88 Cal.App.4th at p. 219.) However, if the existence of the agreement is challenged, “[movant] bears the burden of proving [the arbitration agreement’s] existence by a preponderance of the evidence.” (Rosenthal, supra, p. 413; see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058–1060.)

B. Discussion

Defendant moves to compel Plaintiff to submit to binding arbitration pursuant to an arbitration agreement between the parties. Plaintiff does not dispute that she signed the agreement to arbitrate on February 3, 2025. (Kostadinov Decl. ¶ 4, Ex. A.) Thus, Defendant has met its initial burden of establishing the existence of an agreement to arbitrate. However, Plaintiff argues that the agreement is unconscionable and barred by the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act (EFAA). Because the Court finds that the agreement is unconscionable, it need not reach Plaintiff’s argument concerning the EFAA.

The arbitration agreement is unconscionable.

Plaintiff argues that the arbitration agreement is unconscionable and thus unenforceable. Unconscionability requires a finding of both procedural and substantive unconscionability. (*Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533.) They need not be present to the same degree: a sliding scale is used such that the greater the procedural or substantive unconscionability present, the less that is required of the other. (*Gentry v. Superior Court* (2007) 42 Cal.4th 443, 469 (*Gentry*).)

Procedural unconscionability

“addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.” (Haydon v. Elegance at Dublin (2023) 97 Cal.App.5th 1280, 1287 (Haydon).) In assessing procedural unconscionability, courts must ask “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (Ibid.) Oppression occurs where a contract’s formation lacks negotiation or meaningful choice. (Ibid.) Surprise may be found where the allegedly unconscionable provision is hidden in a boilerplate printed form. (Ibid.)

Plaintiff argues that the arbitration agreement is procedurally unconscionable because she was required to sign it as a condition of her employment. Contracts of adhesion are generally unconscionable. (Fitz v. NCR Corp. (2004) 118 Cal.App.4th 702, 722.) “[I]n the case of preemployment arbitration contracts, the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement.” (Armendariz, supra, 24 Cal.4th at p. 115.)

Here, Plaintiff was presented with the relevant arbitration agreement during her employment with Defendant. (Cipriano Decl. ¶ 3.) She was told that she had to sign the agreement. (Id. ¶ 4.) She further alleges that she was not given any opportunity to negotiate the terms of the arbitration agreement. (Id. ¶ 6.) Thus, the Court finds that the present contract was one of adhesion. This indicates at least a low amount of procedural unconscionability.

Plaintiff also argues that the agreement is procedurally unconscionable due to oppression. Courts consider the following factors to determine whether oppression was present: “(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126–127.) Here, Plaintiff was presented with the agreement by Human Resources and told by her supervisor to sign it. (Cipriano Decl. ¶¶ 3–4.)

The contract was 4 pages of text, with some references to other external rules. (Kostadinov Decl., Ex. A.) Plaintiff's highest level of education included some time in college. (Cipriano Decl. ¶ 8.) And while Plaintiff never consulted an attorney regarding the agreement, the agreement itself encouraged her to do so. (Id. ¶ 9; Kostadinov Decl., Ex. A.) Considering the totality of the circumstances, the Court finds that the agreement was not oppressive. Plaintiff does not present evidence of being rushed to sign the agreement or of her lacking education. Additionally, the agreement was not particularly complex or difficult to parse and Plaintiff was encouraged to consult an attorney. Accordingly, the Court finds only a low amount of procedural unconscionability in the agreement.

With the Court having found a low degree of procedural unconscionability, Plaintiff must demonstrate a high degree of substantive unconscionability to render it unenforceable. (Gentry, supra, 42 Cal.4th at p. 469.) Substantive unconscionability exists when a contract "imposes unduly harsh or one-sided results." (Haydon, supra, 97 Cal.App.5th at p. 1289.)

First, Plaintiff argues that the agreement is substantively unconscionable because it is not mutual. Where an agreement to arbitrate forces an employee to arbitrate claims against entities related to the employer but does not give an equivalent right to the employee to force arbitration of claims brought by those same entities, it is substantively unconscionable. (Cook v. University of Southern California (2024) 102 Cal.App.5th 312, 328 (Cook).) Here, the agreement requires Plaintiff to arbitrate claims she may have against "past and present employees, independent contractors, owners, managers, agents, officers, directors, board members, shareholders, assigns, benefit plans and sponsors, fiduciaries, alleged joint employers, administrators, or insurers of [Defendant] and/or [Defendant's] predecessor and/or successor companies." (Kostadinov Decl., Ex. A.) But it only requires Defendant to arbitrate its potential claims against Plaintiff. This is exactly the type of non-mutuality contemplated in Cook, since only Plaintiff is required to arbitrate her claims against related entities, while they may bring claims in court against her. Thus, the agreement is substantively unconscionable under Cook.

Second, Plaintiff argues that the agreement is overbroad. In Cook, the Court of Appeal held it unconscionable for an employment agreement to extend to "all claims, whether or

not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities." (Cook, supra, 102 Cal.App.5th at p. 321.) The Court noted that this language was broad enough to force the employee to relinquish her right to sue a fellow employee for acts completely unrelated to her employment, and that such breadth was unconscionable. (Id. at p. 325.) Here, the arbitration provision extends to "any and all disputes, claims or controversies of any kind or nature, including but not limited to such matters arising from, related to or in connection with [Plaintiff] seeking employment with [Defendant], [Plaintiff's] employment by [Defendant] and/or the termination/separation of [Plaintiff's] employment with [Defendant]." (Kostadinov Decl., Ex. A.) Just as in Cook, this language encompasses all potential disputes with Defendant and various other related entities. Such language is substantively unconscionable.

Defendant

argues that Cocom v. ABM Aviation, Inc. (9th Cir. 2026) 179 F.4th 1168, does not allow such a finding of substantive unconscionability. There, the Ninth Circuit limited the effect of Cook, reasoning that a reference to "all disputes" was reasonably narrowed by a subsequent list of specific terms. (Id. at p. 1175.) However, it distinguished Cook on the grounds that the arbitration agreement there still enumerated covered claims which included claims unrelated to employment, finding that such language could still support a finding of unconscionability. (Ibid.) The present agreement includes a similarly broad collection of enumerated claims. The "Covered Claims" section mentions infliction of emotional distress, negligence, tort claims generally and claims under the California Civil Code and Business and Professions Code. (Kostadinov Decl., Ex. A.) Thus, while the language in the agreement referring to "all disputes" contains language in some respects similar to Cocom, this Court does not read language which states "including but not limited to" as the equivalent of "limited to." As such, the agreement is expansive enough to render the agreement unconscionable.

Third,

Plaintiff argues that the unlimited duration of the agreement is unconscionable. An arbitration agreement which survives indefinitely after termination of employment is substantively unconscionable. (Cook, supra, 102 Cal.App.5th at p. 325.) Here, the present agreement "shall survive the termination of [Plaintiff's] employment with the [Defendant]." (Kostadinov Decl., Ex. A.) Thus, the agreement is also substantively unconscionable because

it is unlimited in duration. The fact that it is revocable through a signed writing by both parties does not change the fact that the agreement is not terminable at will, and such language was still held to be unconscionable in *Cook*. (See *Cook*, *supra*, at p. 326.)

Fourth,

Plaintiff argues that the agreement's broad waiver of representative actions is substantively unconscionable. Specifically, an arbitration agreement which requires an employee to give up their right to bring representative PAGA actions is against public policy and substantively unconscionable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 360.) Here, the relevant provision regarding waiver of representative actions specifically states that it does not require waiver of PAGA rights if precluded from doing so by law. (*Kostadinov Decl.*, Ex. A.) Thus, the agreement is not unconscionable on this ground.

Nevertheless, due to the broad scope of the agreement, its unlimited duration, and its one-sided arbitration requirement with respect to Defendant's related entities, the Court finds a high degree of substantive unconscionability. Thus, having found a low degree of procedural unconscionability and high degree of substantive unconscionability, the Court finds the agreement to be unconscionable. Accordingly, the Court denies Defendant's motion to compel arbitration.

C. Conclusion

Defendant's motion to compel arbitration and stay these proceedings is denied.